

**The Value Enablement
Group LLC**
A Global Strategic Firm

Value-Driven Model for Healthcare



**Where Value is Measured
in the eyes of the patient**

Outline

- Challenges
 - Opportunities
 - Needs of the providers, practitioners, and patients
 - Measuring Value to Get Results
 - Enabling Value-Driven Healthcare
 - Engaging providers, practitioners, and patients
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- Towards a Collaborative Healthcare Model
 - Evolving the current business model

Current Challenges

- Escalating costs.
- Fragmented funding models.
- Reimbursement tied to results NOT value.
- More difficult than ever to drive innovation & change.
- Healthcare is fractionalized across the continuum of care.
- The government is trying to lead healthcare reform.
- Practitioners worry about quality, timeliness, and effort of care
- Patients worry about quality of care, loss of control, and cost
- Providers worry about loss of control and revenue

Opportunities

- Hospitals can drive healthcare reform through the experiences they deliver (one patient at a time).
- Opportunity for unifying the departments across the hospital to provide guidance and direction for change.
- Opportunity to encourage collaboration and cooperation to solve the healthcare needs across the continuum of care (w/in & w/out the hospital).
- Opportunity to create a holistic system of healthcare guided by consistent value-driven metrics (outcomes) to measure & ensure consistency, quality, and efficiency.

Needs of the Patients

- To have affordable healthcare.
- To have attainable healthcare.
- To have more accessible healthcare.
- To have consistent levels of quality (results).
- To receive a total healthcare experience:
 - Ensure their functional outcomes met.
 - Ensure their emotional outcomes met.
 - Ensure their outcomes are met across the continuum of care (beyond the hospital, into clinics, and into the home).

Needs of the Practitioners

- To improve diagnostic capabilities in a cost-effective manner.
- To improve clinical processes.
- To provide consistent levels of quality.
- To move beyond service, where they can deliver a positive experience.
- To be able to reliably measure value for their patients, for themselves as individual practitioners , and for their practices.

Needs of the Providers

- To get pharmaceutical and device manufacturers, insurers, and healthcare suppliers to become aligned, unified and collaboratively focused on a consistent set of outcomes.
- To increase collaboration NOT competition.
- To understand how to identify, measure and deliver value throughout the healthcare value network.
- To move towards a shared revenue model where everyone can still win, but not at the expense of others (esp. the patients & the public).

Opportunity to enable Value

- Innovate current business model to address the needs of the patients, practitioners, and the providers (3Ps).
- Use a disciplined process to capture and assess the needs of the 3Ps in a quantifiable manner.
- Provide a centralized repository of unbiased needs of the 3Ps to identify opportunities for measuring & creating value in the healthcare system.
- Guide (and possibly drive) innovation in healthcare to create new value, while reducing the overall costs for the 3Ps.

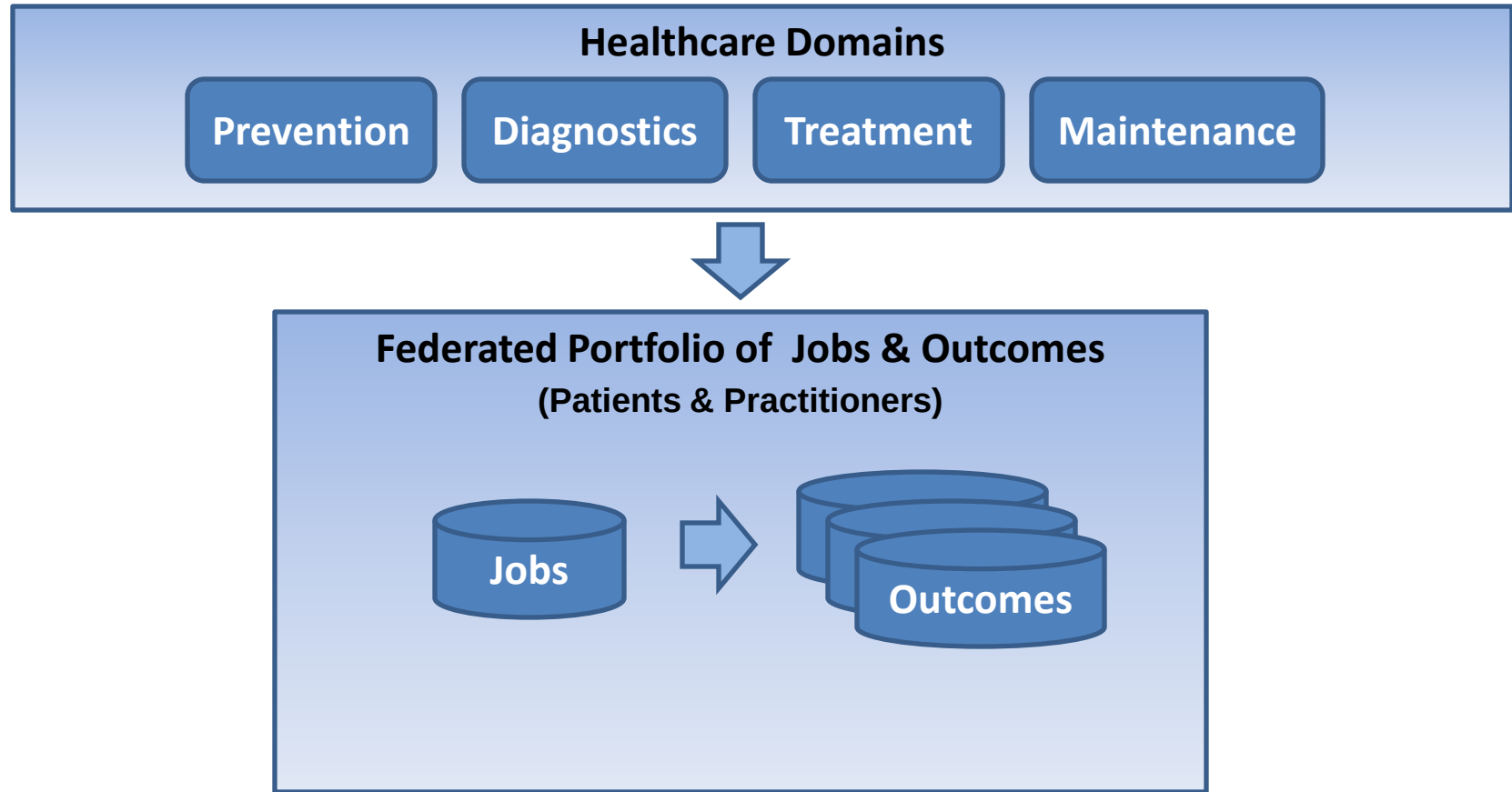
Creating a Platform for Enabling Value

- Defining & delivering the prescription for healthcare reform should come from within healthcare (not the government).
- Creating a vision for a new healthcare system by forming a collaborative model with healthcare advocacy organizations, institutions, providers and practitioners.
- Providing the practitioners with a consistent set of benchmarks for measuring the value they deliver to patients.
- Driving open innovation among providers to create a more efficient process for guiding and creating value.
- Working collaboratively with the government to guide more efficient and effective funding that drives healthcare reform.

Moving from Assumptions to Implementation

- Establish a program focused on mapping the Jobs & Outcomes across the healthcare domain.
- Build a portfolio of unmet needs (opportunities) for improving value delivery to patients and practitioners.
- Establish a prioritization model to direct resources in an efficient manner.
- Create an open innovation framework using the opportunities to generate ideas that can address the most important (prioritized) unmet needs.
- Establish a shared revenue model as part of a collaborative to address unmet needs.

Value Measurement Platform for Healthcare



Value is measured through Outcomes => Outcomes are used to enable value

Current focus is on Results-Driven Healthcare

- **Laboratories**
 - Reducing Turn Around Times and Errors
- **Emergency Departments**
 - Reducing diversions, improving flow
- **Outpatient Cancer Treatment**
 - Reducing patient delays, increasing capacity
- **Operating Rooms**
 - Reducing changeover times, increasing utilization
- **Pharmacies**
 - Reducing errors, improving response
- **Food Service**
 - Reducing wasted food, improving quality

Examples of Desired Outcomes

Category	Desired Outcome
Defects	Minimize the likelihood that the wrong label is placed on a patient's fluid sample
Overproduction	Minimize the likelihood that blood is drawn from patients when they are sleeping (i.e. during 4am shifts)
Transportation	Minimize the amount of time required to retrieve inventory.
Transportation	Minimize the number of handoffs between staff for inventory
Transportation	Minimize the number of handoffs between staff for information

Examples of Desired Outcomes

Category	Desired Outcome
Efficiency	Minimize the amount of time required to fill a centrifuge
Inventory Mgmt	Minimize the amount of supply on hand for inventory (i.e. 50 weeks of supply)
Transportation	Minimize the distance a pharma Technician needs to walk to retrieve a printout
Inventory Mgmt	Minimize the likelihood that expired inventory is retrieved (i.e. Date/Time stamp is not used)
Human Potential	Minimize the likelihood that ideas are not considered when submitted by staff (i.e. Med Techs, RN's ideas for improvement are often ignored)

Moving from Results-Driven to Value-Driven

Batch Thinking

Utilization

- Keep expensive assets heavily utilized
 - Machines
 - Doctors
- Queue Patients up
 - Convenience for staff



Patient Flow

Desired Outcomes

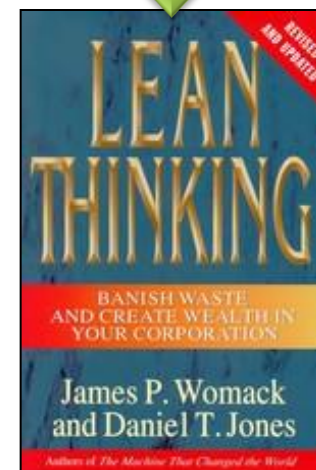
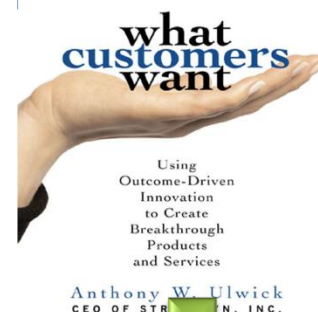
- Minimize the amount of time that patients are left waiting in corridors
- Minimize the likelihood that staff are rushing procedures (i.e. due to batch loading of orders)

Drive LEAN with Value-Driven Measurement

1. Specify **value** in the eyes of the customer.
2. Identify the **value stream** and eliminate **waste**.
3. Make value **flow** at the pull of the customer.
4. **Involve** and **Empower** employees.
5. **Continuously** improve in the pursuit of **perfection**.



"Ulwick's outcome-driven programs bring discipline and predictability to the often random process of innovation."
—Clayton M. Christensen, best-selling author of *The Innovator's Solution*

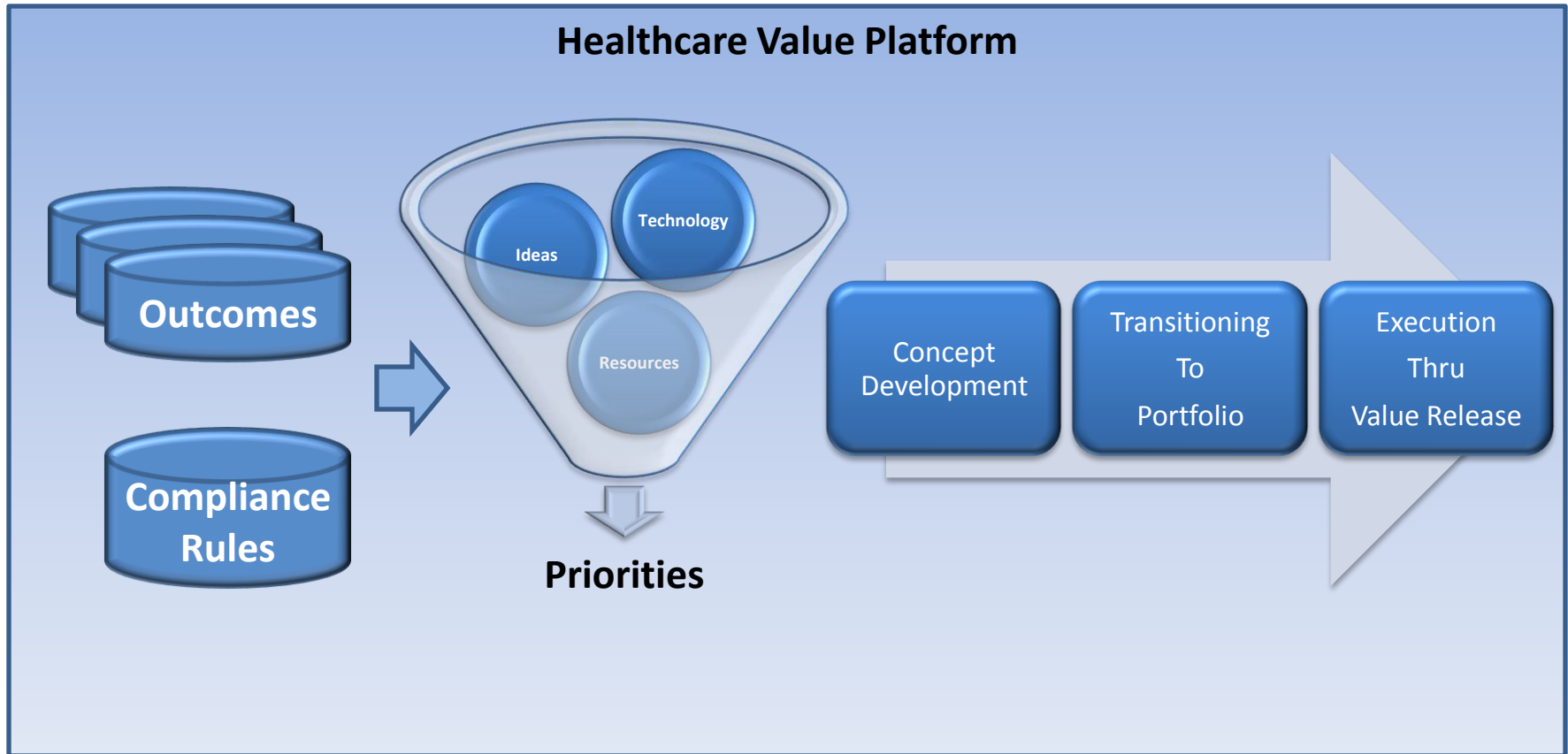


Measuring Value in Healthcare

- Build a portfolio of jobs & outcomes:
 - For measuring value
 - For capturing customer* needs
 - For guiding innovation

*** The focus is on Patients and Practitioners in the Healthcare Value Network**

Enabling Value for Healthcare



Efficient value delivery for transforming healthcare and driving value

Enabling Value for Healthcare

- Build an innovation portfolio to drive value by:
 - Creating a portfolio of outcomes that can be used by the 3 Ps to measure value.
 - Creating a portfolio of opportunities (IP)*.
 - Leveraging open innovation to create a portfolio of ideas to address unmet needs.
 - Engaging innovators in a collaborative effort to create new products and services to solve the most important needs in healthcare.
 - Aligning sustainable value delivery within a system of healthcare.

Engaging Providers & Innovators

- Identifying priorities for healthcare upfront can:
 - Reduce the risks for investments in new products and services.
 - Focus 3rd party resources more efficiently.
 - Reduce the costs associated with investment planning.
 - Reduce the cycle time for new products & services addressing the most important needs in healthcare.

Engaging Providers & Innovators

- Using a managed IP model will:
 - Encourage open innovation to leverage mindshare across all disciplines to solve the healthcare needs.
 - Promote collaboration instead of competition for new products & services to:
 - Bring new efficiencies to research and development.
 - Reduce the costs and cycle time.
 - Level the intellectual capital (IC) playing field for all providers and innovators.

Engaging Practitioners & Patients

- Using a repository of outcomes will:
 - Provide practitioners with a consistent set of metrics for measuring value with precision:
 - Covering the realm of healthcare locations (hospitals, clinics, alternate site, and home)
 - Covering the breadth of healthcare practitioners (physicians, nurses, pharmacists, specialists, etc.)
 - Covering the flow of patients and the care they receive across the continuum of healthcare
 - Provides hospitals with a consistent benchmark for evaluating healthcare products and services

Engaging Practitioners & Patients

- Using a repository of outcomes will:
 - Provide patients with a consistent benchmark for selecting products, services, and practitioners to meet their healthcare needs.
 - Provide consistent outcomes and quality of care from prevention to support (continuum of care) for all patients.

Towards a Collaborative Healthcare Model

- The intellectual property (IP) repository will provide the healthcare organization with a unique value proposition to draw additional participants from across the healthcare value network (including patients) to enable value drive revenue potential.

Towards a Collaborative Healthcare Model

- Access to the information in the intellectual property (IP) repository will:
 - Draw practitioners so they can more efficiently and effectively review and select products and services that can help them meet the patient outcomes.
 - Draw patients so they can review value-driven measures about providers, practitioners, products and services to make informed choices about their healthcare needs.

Towards a Collaborative Healthcare Model

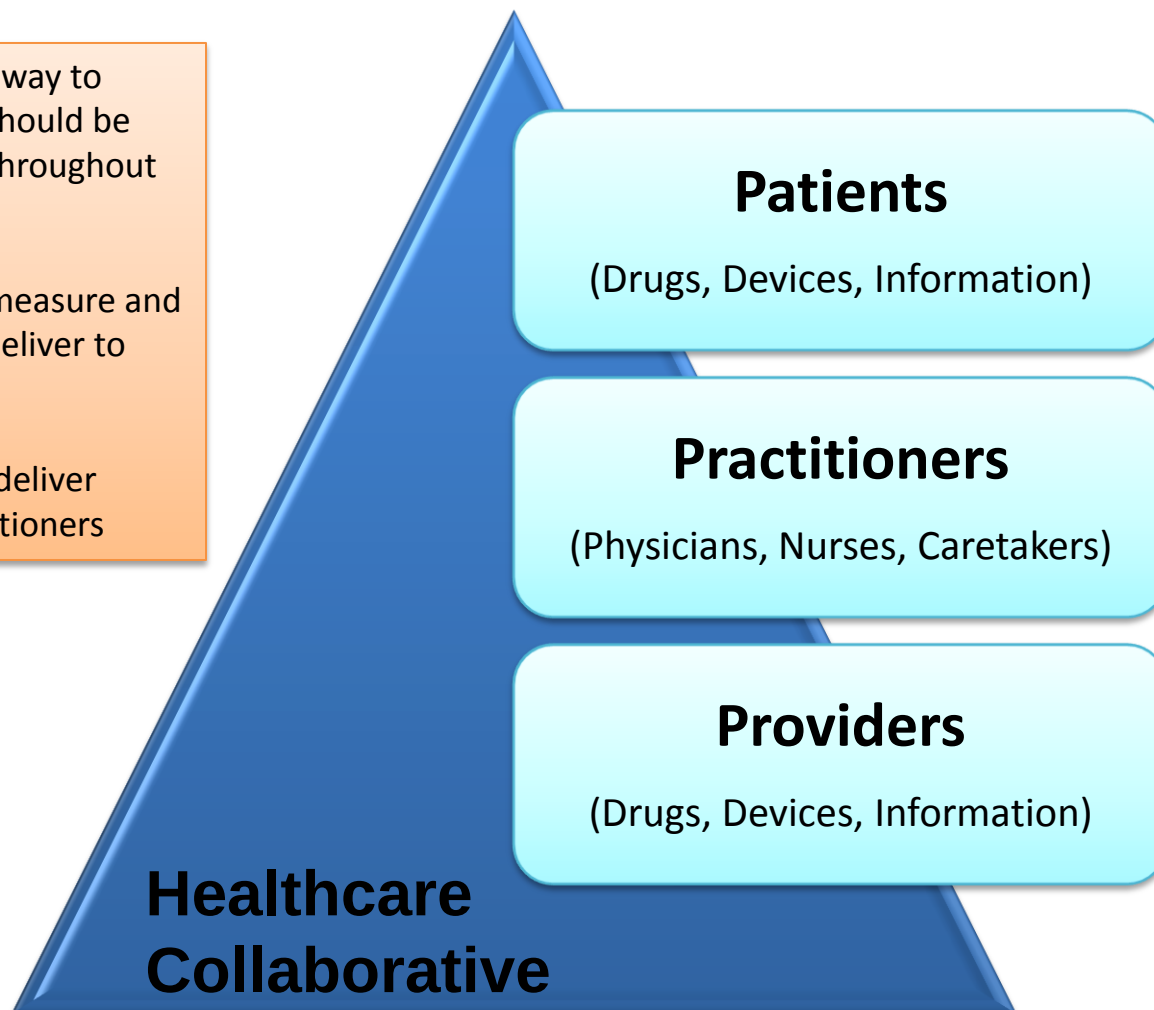
- Access to the information in the intellectual property (IP) repository will:
 - Draw providers so they can optimize their IC processes to deliver more efficient and effective value to practitioners and patients.
 - Draw investors from private and public sectors who are interested in leveraging information to optimize care for their employees.

Towards a Collaborative Healthcare Model

Providing Patients with a way to measure the value they should be receiving for healthcare throughout the continuum

Guiding Practitioners to measure and optimize the value they deliver to Patients

Guiding the Providers to deliver value to Patients & Practitioners



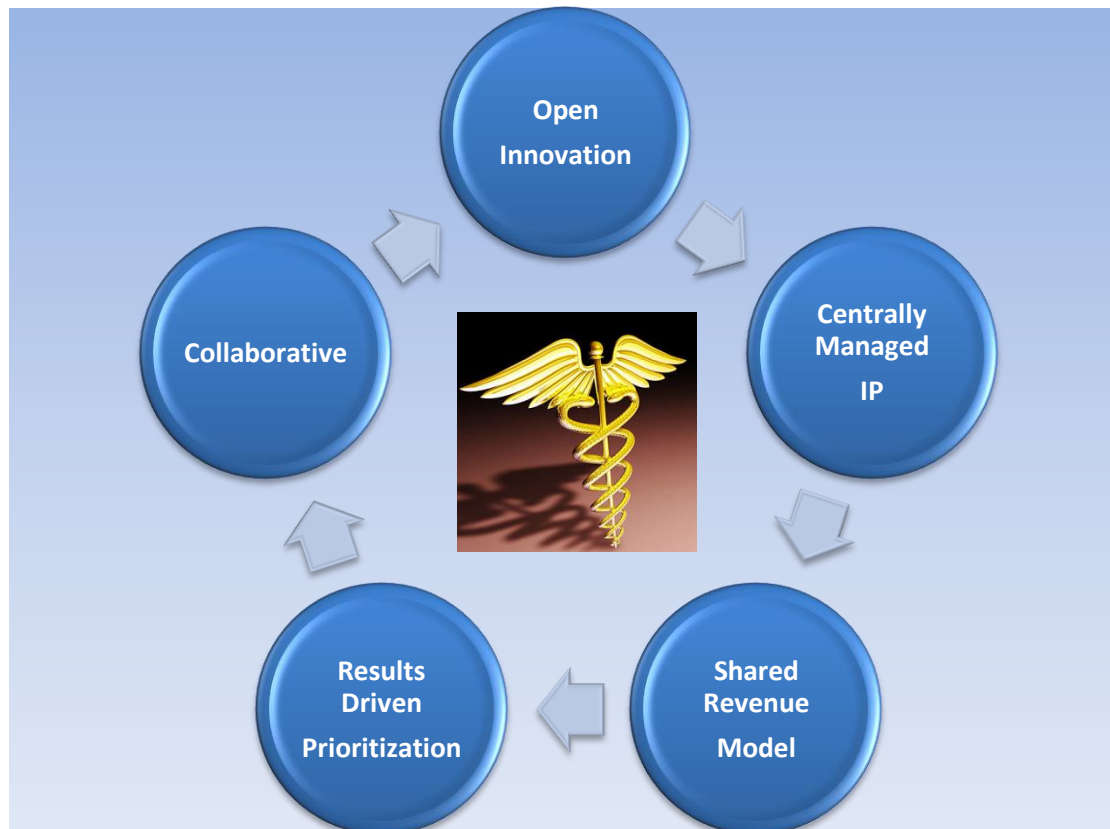
Reducing Costs & Driving Value

- Today...
 - Participants in the healthcare value network create value based on their own perceived understanding of customer needs.
- Tomorrow...
 - A unified model of healthcare will be able to:
 - Understand customer needs throughout healthcare
 - Guide providers to build the right products & services
 - Deliver value to customers* throughout the healthcare continuum

*** Practitioners & Patients**

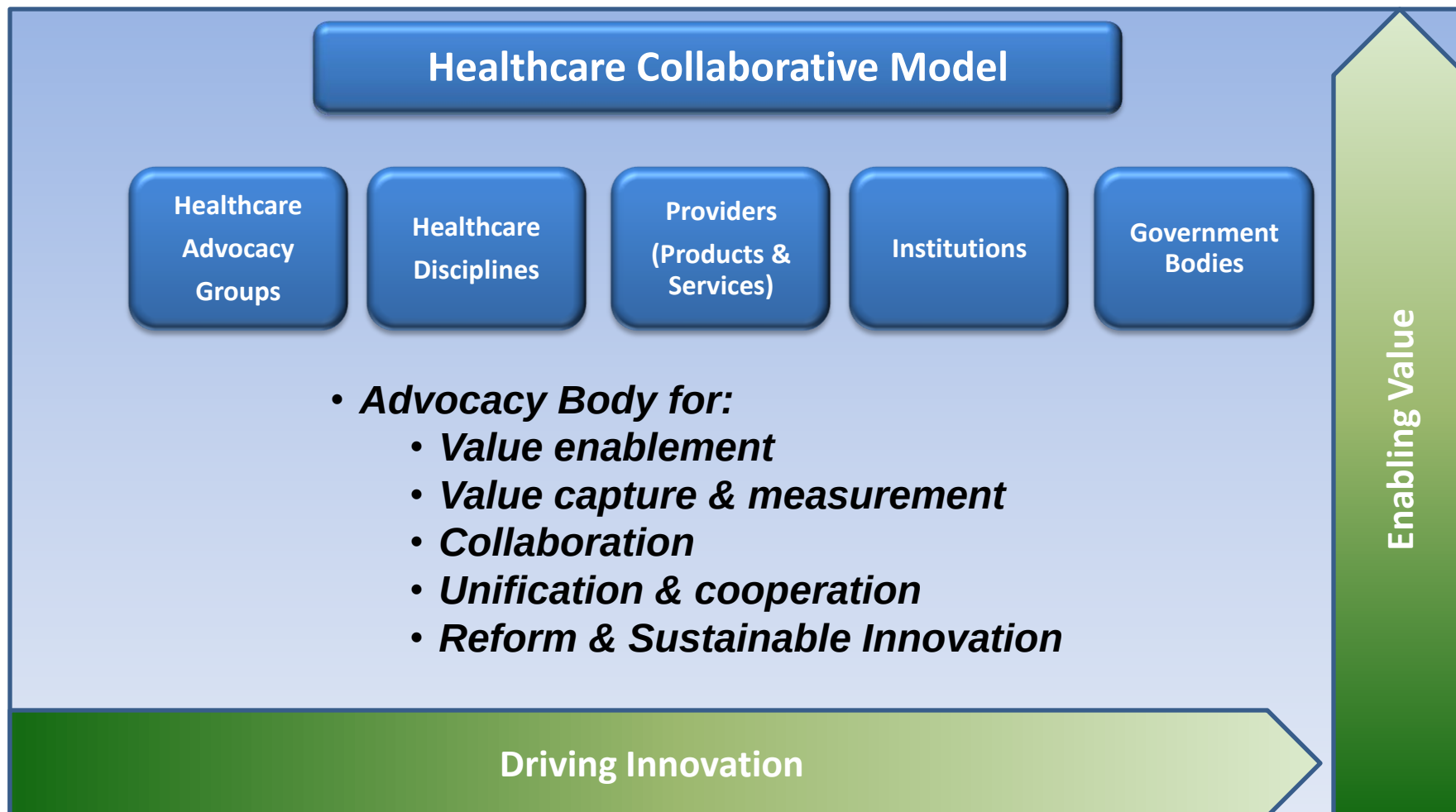
A New Business Model for Creating Value

- Provides new value creation
- Repositioned for leading healthcare change
- Relevant to all Providers, Practitioners, and Patients
- Provides thought leadership for guiding change and innovation



- Orchestrates a unified value network for delivering efficient, affordable, and accessible healthcare to meet the unmet needs of customers
- Ensures value can be measured, improved, and sustained

Towards a Value-Driven Model for Healthcare



Thank You

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**The Value Enablement
Group LLC**
A Global Strategic Firm

***Management Consulting firm
dedicated to helping clients identify
& create sustainable value for their
customers & stakeholders.***

Our Services

Enabling Innovation

- Institutionalize Customer Focus
- Portfolio Mgmt for Customer Needs, Ideas, & opportunities
- Drive efficiency into the ideation pipeline
- Aligning Value Platforms with Technology Platforms

Enabling Adaptation & Agility

- Model products & services for agility and adaptability
- Drive reuse of assets thru holistic portfolio Mgmt
- Leverage Quality to enable change
- Optimize Platforms Change Mgmt Platform for sustainable value

Enabling Operational Excellence

- Model-driven outcomes (beyond BPM)
- Infuse Quality & continuous learning into all processes
- Make technology transparent
- Drive efficiency & productivity thru an outcome focus

Enabling Business Models

- Profiling risk to create opportunity
- Collaboration as a core competency
- Leverage disruptive innovation
- Fail Fast Forward to achieve growth
- Embracing change
- Modeling for sustainable value

Enabling Knowledge

- Modeling data to enhance knowledge capture (explicit & tacit information)
- Integrating information and insights to enable knowledge consumption
- Designing platforms for sustainable learning

Our Expertise

Strategic

Change Management

- Strategic Planning
- Business Model Innovation
- Enterprise Architecture

Product Marketing

- Customer Focus
- Market Assessment
- Value Platforms
- Investment Planning
- Product Roadmaps
- Portfolio Planning

Operational

Concept Development

- Driving Innovation
- Continuous Improvement

Portfolio Management

- Prioritization
- Portfolio Planning
- Resource Planning
- Product Design - Testing
- Execution Management

Quality

- Six Sigma
- Lean & Kaizen

Technical

Business Services

- Process Models
- Metric Models
- Integration Platforms
- Knowledge Management

Infrastructure Services

- Technology Platforms
- Technology Alignment
- Technology Optimization
- Service Level Management
- Agile Delivery
- Adaptable Design